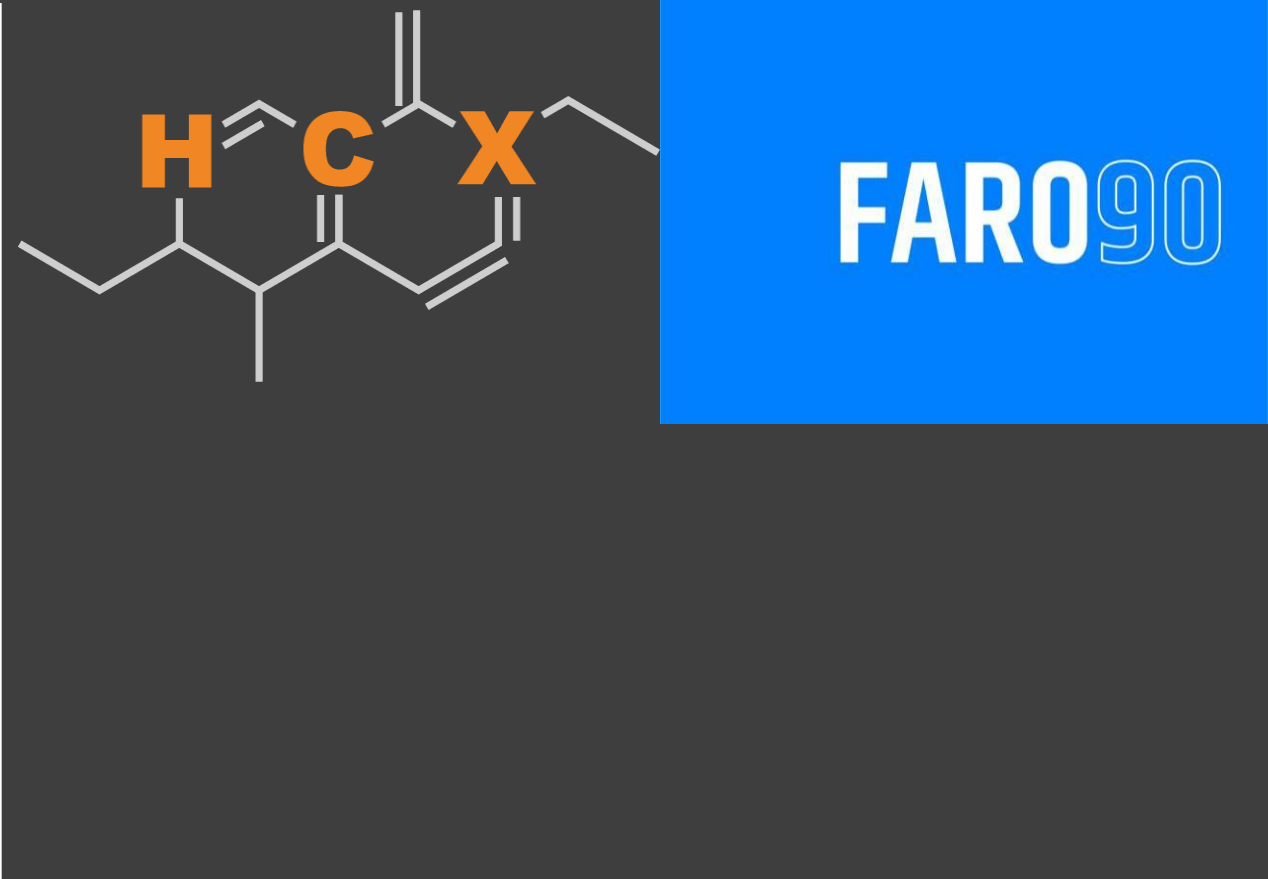




Ethanol Blending in Gasoline - Portugal

September, 2025

Ethanol Blending in Europe

There are important fuel quality and environmental impact of vehicle emission challenges in the Region.

- The use of ethanol improves gasoline quality and creates flexibility in gasoline production.
- Ethanol use is a cost-effective way to increase gasoline octane and to replace more expensive gasoline components.
- Ethanol contributes to transport decarbonization and air quality improvement.
- There are opportunities across Europe to increase the ethanol blend level and implement new policies on the use of gasoline-ethanol blends.



Twenty eight countries with potential and additional use of ethanol were studied: 1) Gasoline market profiles; 2) Optimization of gasoline blends with ethanol and, 3) Environmental impact of gasolines blended with ethanol.

Ethanol Gasoline Blending in Portugal

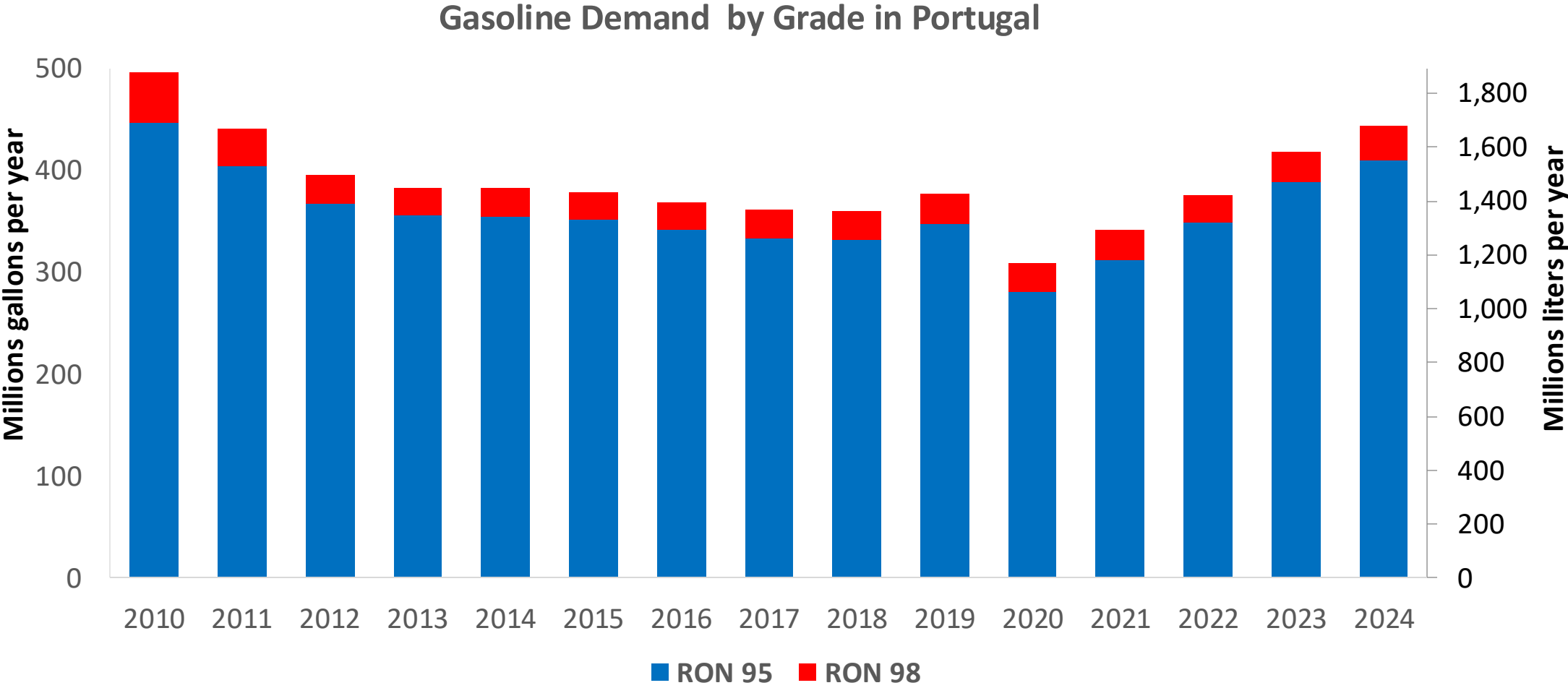


In 2024, gasoline consumption in Portugal was 1,688 million liters (446 million gallons) and growth rate was 0.2%. Gasoline production and net imports were 2,990 and -1,310 million liters (790 and -346 million gallons) correspondingly. Portugal complies with the European gasoline standards and offers two main grades: RON 95 and RON 98) with an average octane of 95.2 RON.

In 2024, ethanol consumption in Portugal was 64 million liters (17 million gallons) representing 3.8% of gasoline demand. Portugal does not produce ethanol, supply is done through imports. Local production plants are being built.

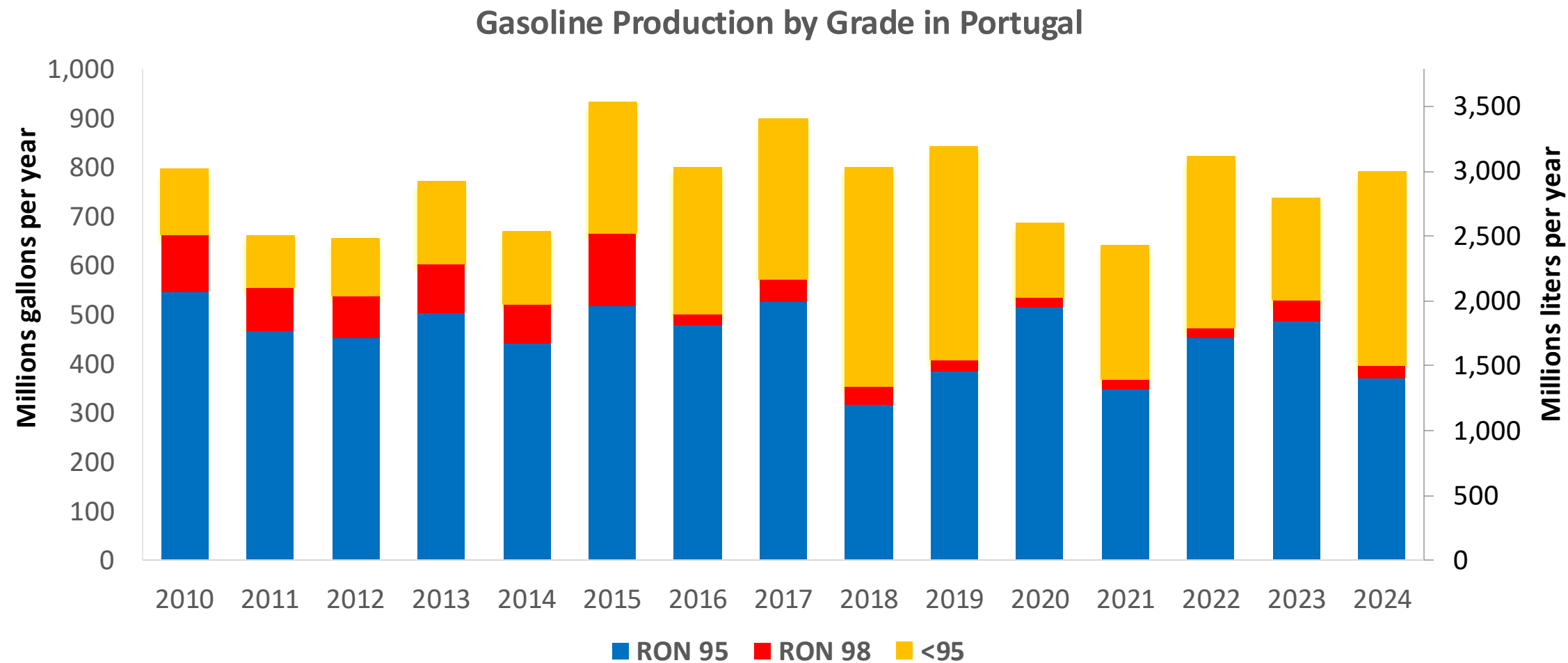
Source: Eurostat, European Commission

Gasoline Demand in Portugal



Source: Eurostat

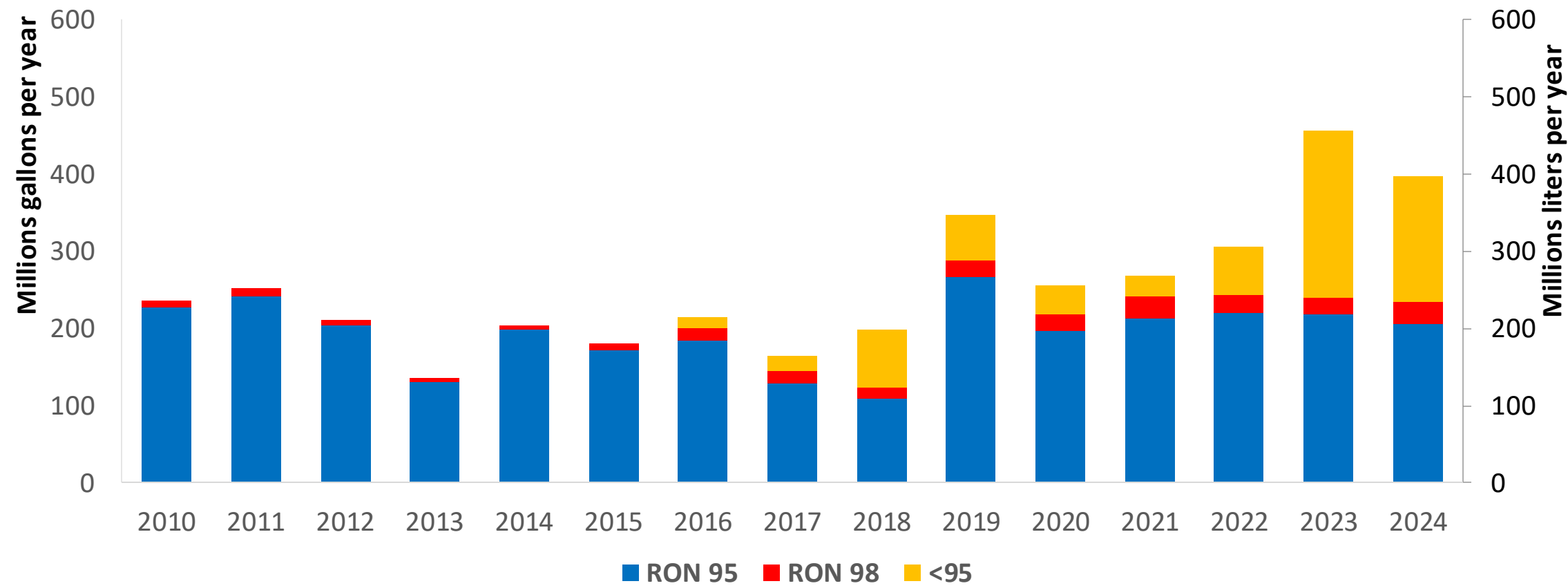
Gasoline Production in Portugal



Source: Eurostat

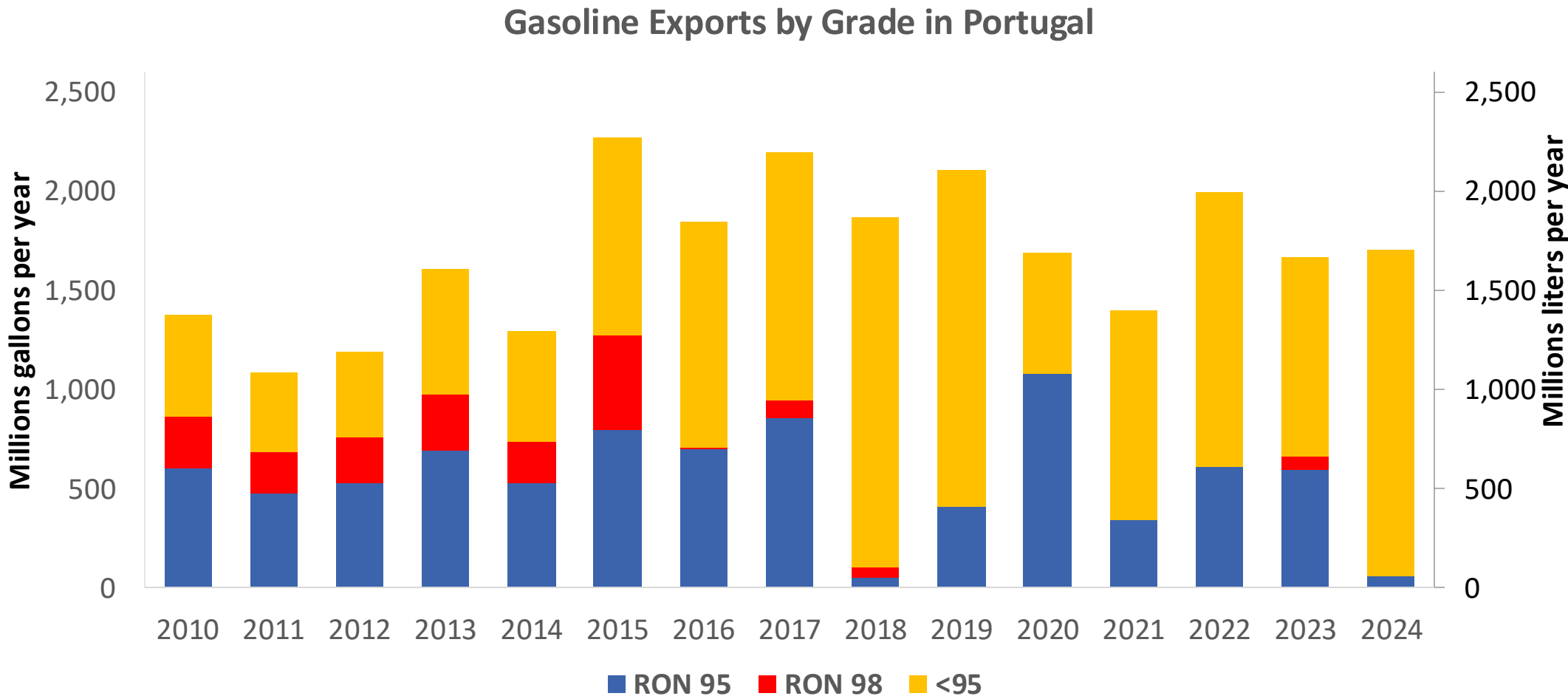
Gasoline Imports in Portugal

Gasoline Imports by Grade in Portugal



Source: Eurostat

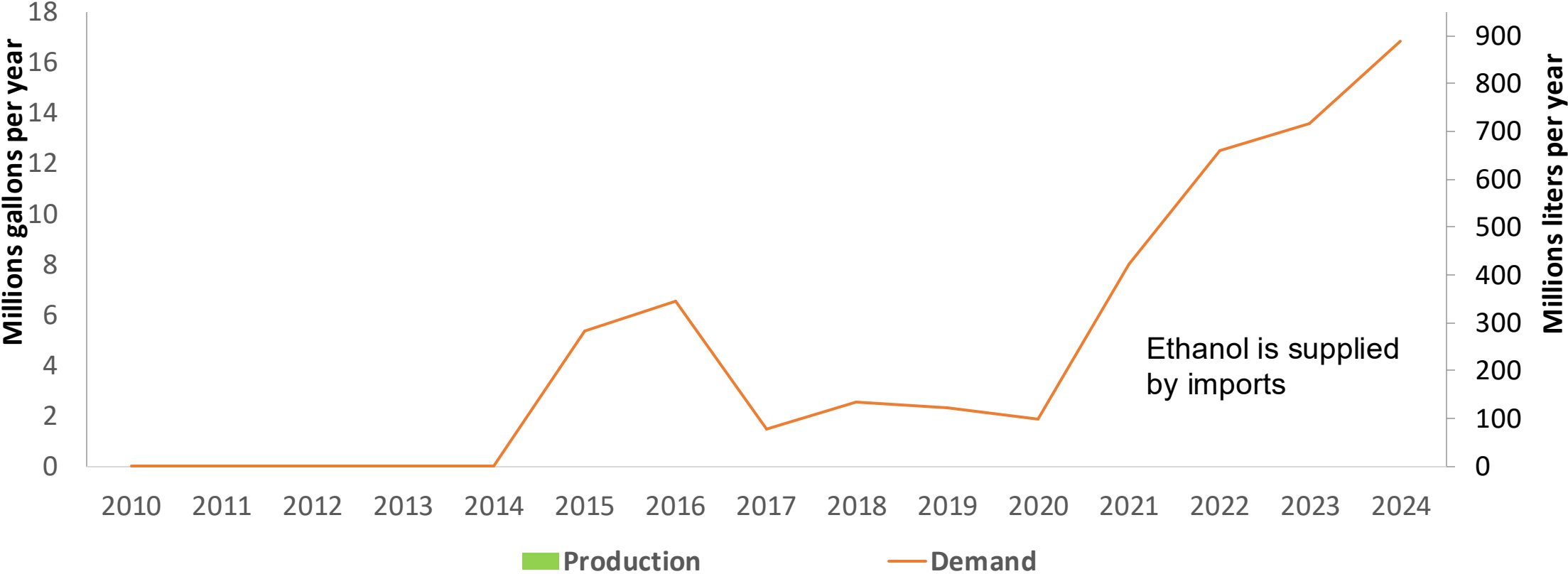
Gasoline Exports in Portugal



Source: Eurostat

Ethanol Balance in Portugal

Ethanol Demand in Portugal



Source: Eurostat

Gasoline Quality in Portugal

Name	EN 228:2025 (Euro 6); Country Level Fuel Ordinances							
Implementation Date	2025							
Applicability	All EU Contries + UK							
Grade	RON 95 E5		RON 95 E10		RON 98 E5		RON 98 E10	
	Min	Max	Min	Max	Min	Max	Min	Max
RON	95.0		95.0		98.0		98.0	
MON	> 85	> 88	> 85	> 88	> 85	> 88	> 85	> 88
AKI								
Benzene (%vol)	< 1							
Aromatics (% vol)	< 35							
Olefins (%vol)	< 18							
Lead (g/L)	< 0.005							
Manganese (mg/L)	< 2,0							
Sulfur (ppm)	10.0							
Oxygen (%w)*	< 2,7	< 3,7	< 2,7	< 3,7	< 2,7	< 3,7	< 2,7	< 3,7
Ethanol (%vol)	< 5	< 10	< 5	< 10	< 5	< 10	< 5	< 10
PVR 37.8°C (psi)	<> 45 - 100 kPa in 6 Volatility Classes							
Overall Biofuels (%cal)	13.0							
Advanced Biofuels (%cal)	2.0							
Bioethanol in Gasoline Sales (%cal)	-							
GHG Emission Reduction (%)	-							

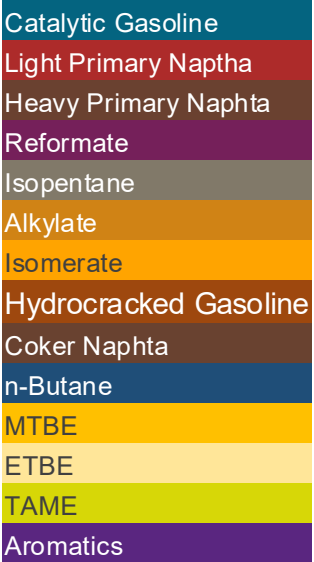
* Methanol 3%, Iso-propyl alcohol 12%, Ter-butyl alcohol 15%, Iso-butyl alcohol 15%, Ethers +5 Carbons 22%, Other Oxygenates 15%

Source: European Commision

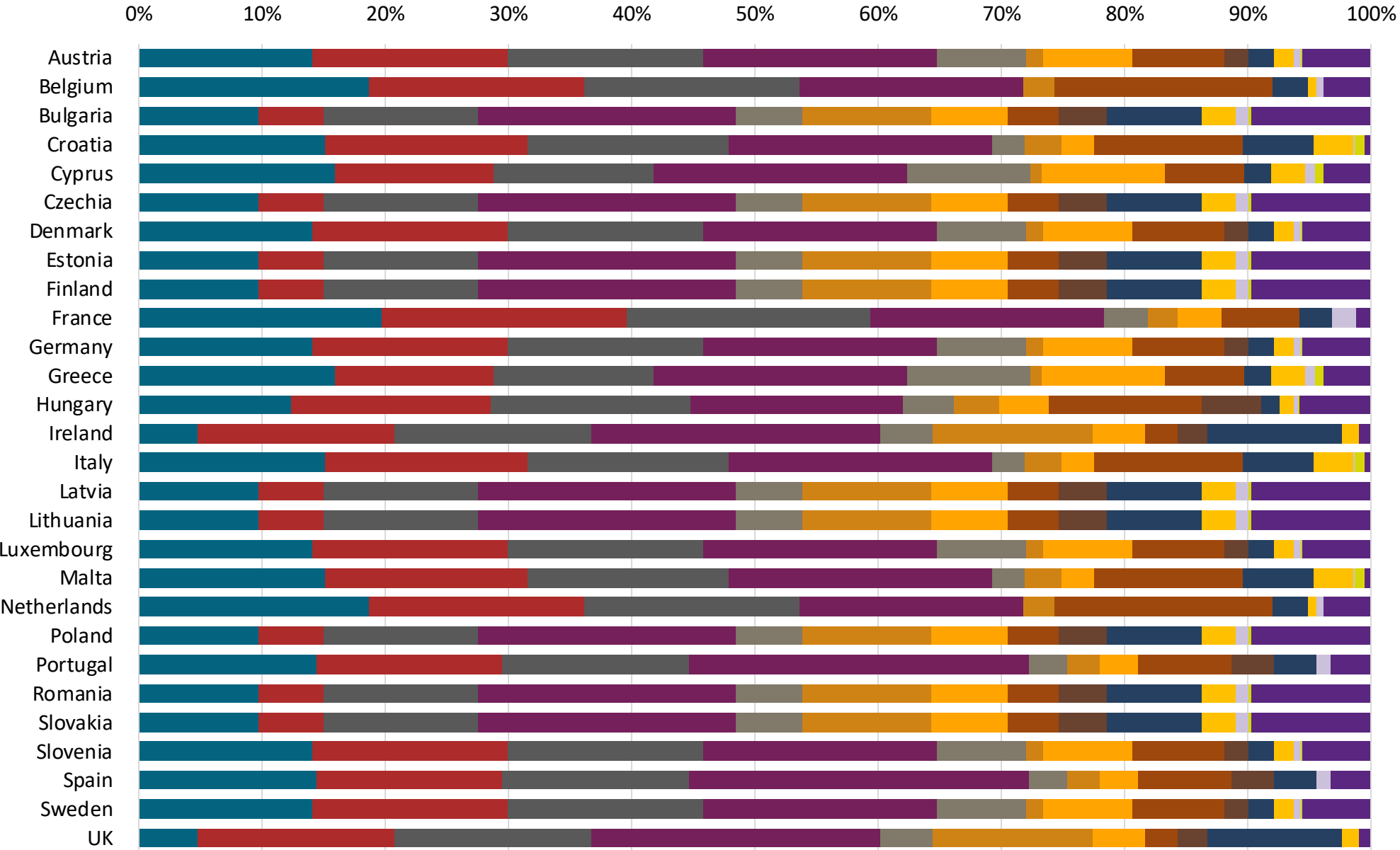
Gasoline Component Blending in Europe



Gasoline is a blend of a base gasoline and other components. Each component provides different properties to the final blend, for example, isomerates, alkylates and butanes increase the octane. The components commonly used in Europe are:



Source: Faro90



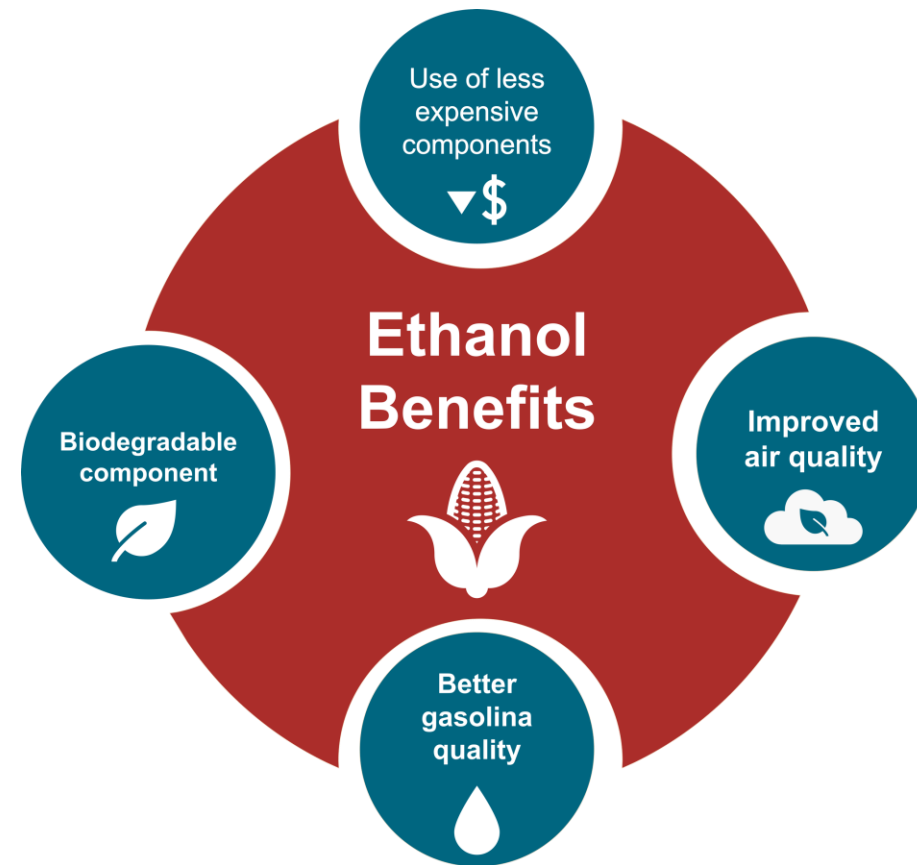
Gasoline Blending Optimization

In some parts of the world, ethanol is added to gasoline as a blending component. The advantages of ethanol include that it is a renewable fuel made of biomass; that it is an octane booster that helps to dilute sulfur; and that it allows the fulfillment of environmental objectives. To determine the optimal components to be blended with ethanol, a **blending model** was used. This model selects the components to add in the gasoline/ethanol blend based on:

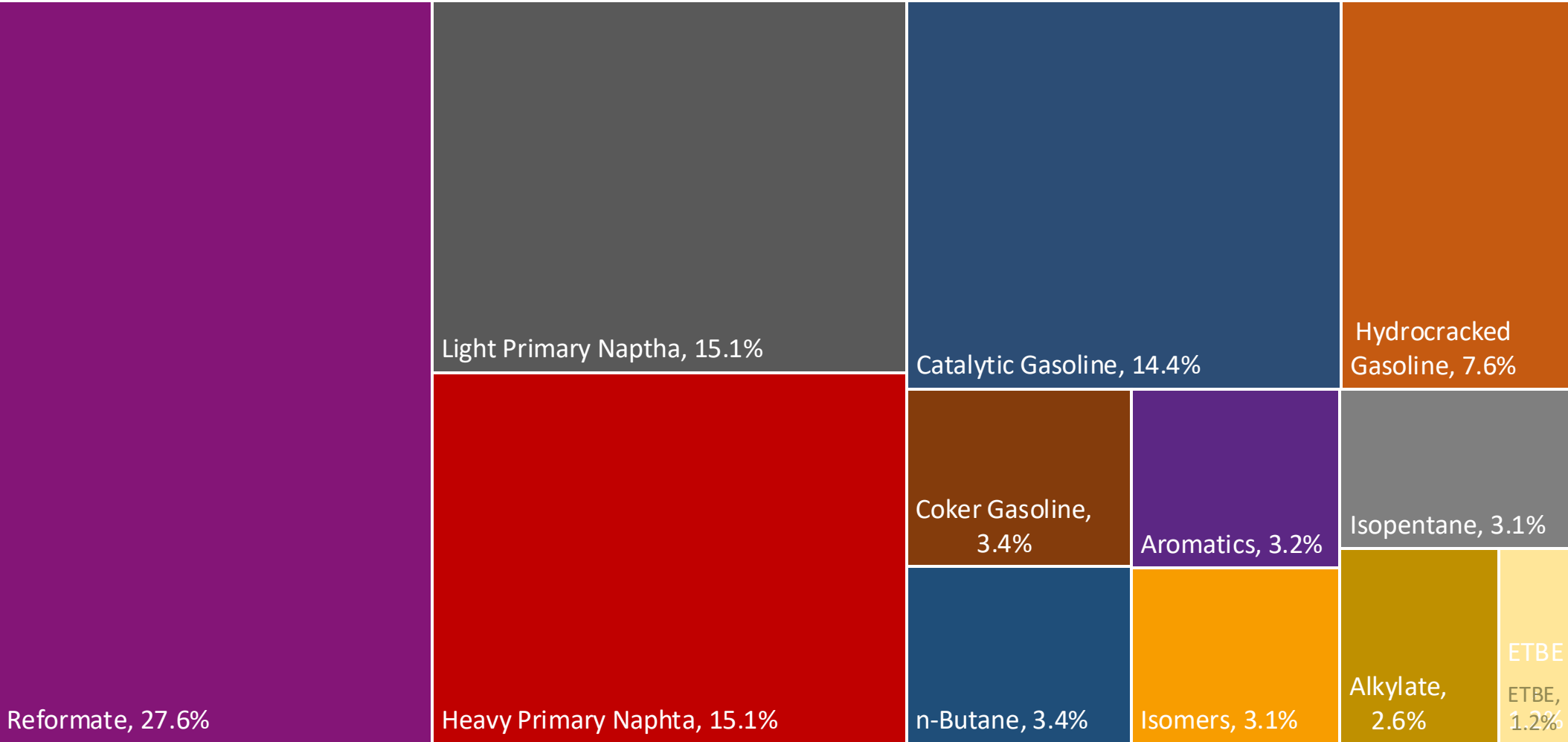
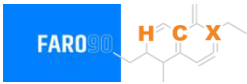
- Components prices,
- Properties each component affects,
- Quality parameters by country, and
- Component availability by country.

Through iterations, the model obtains the %v/v of the components to be blended with 10%, 15%, 20%, 25% and 30% of ethanol, in such a way that the final blend complies with the required properties of a finished gasoline by country.

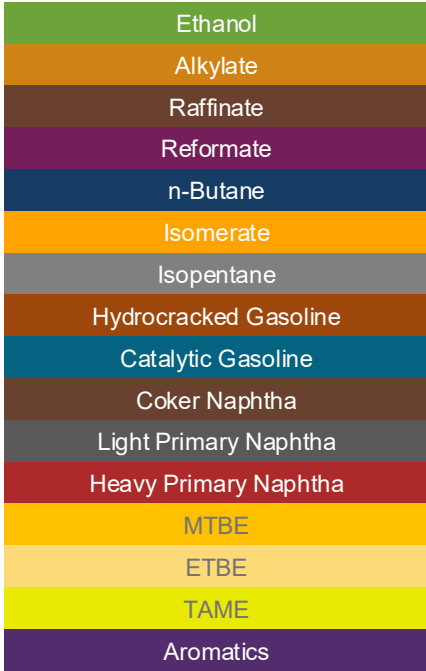
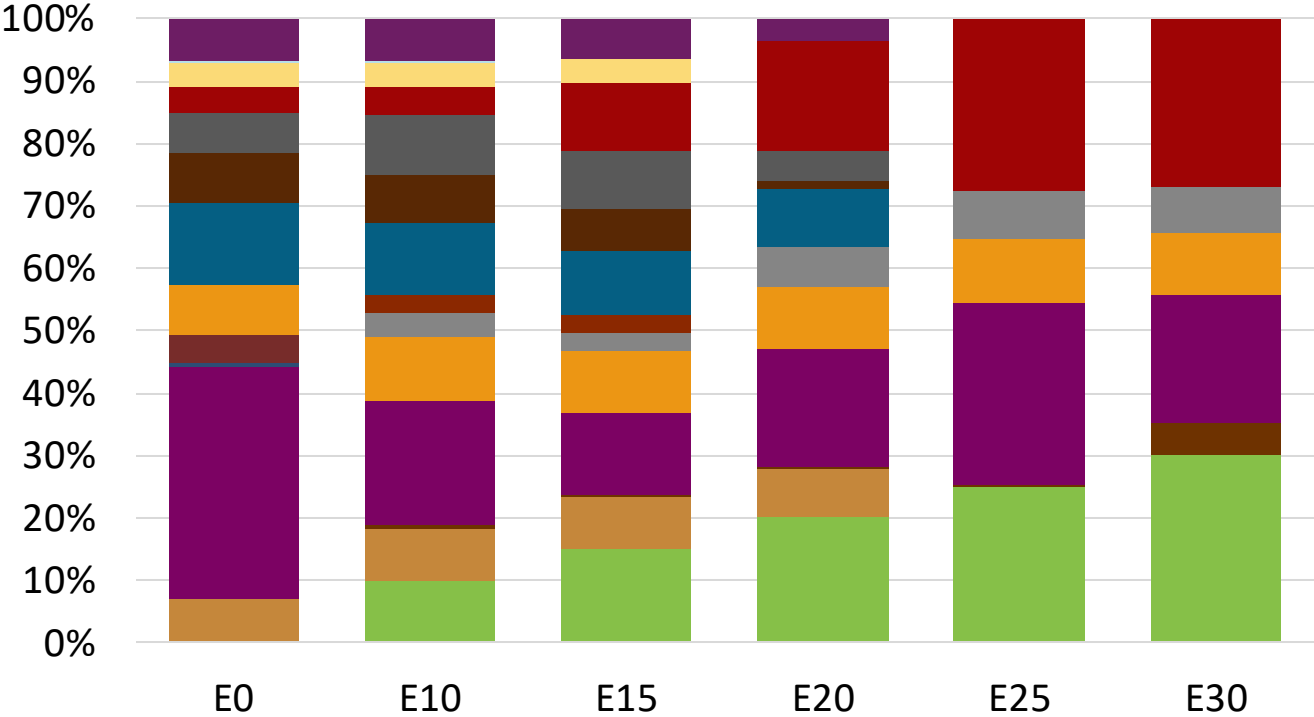
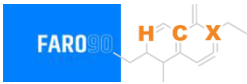
The blending model uses gasoline component spot average prices 2024 and provides fuel prices that do not include country distribution costs, local taxes and subsidies and import or gas station margins.



Portugal Available Blending Components



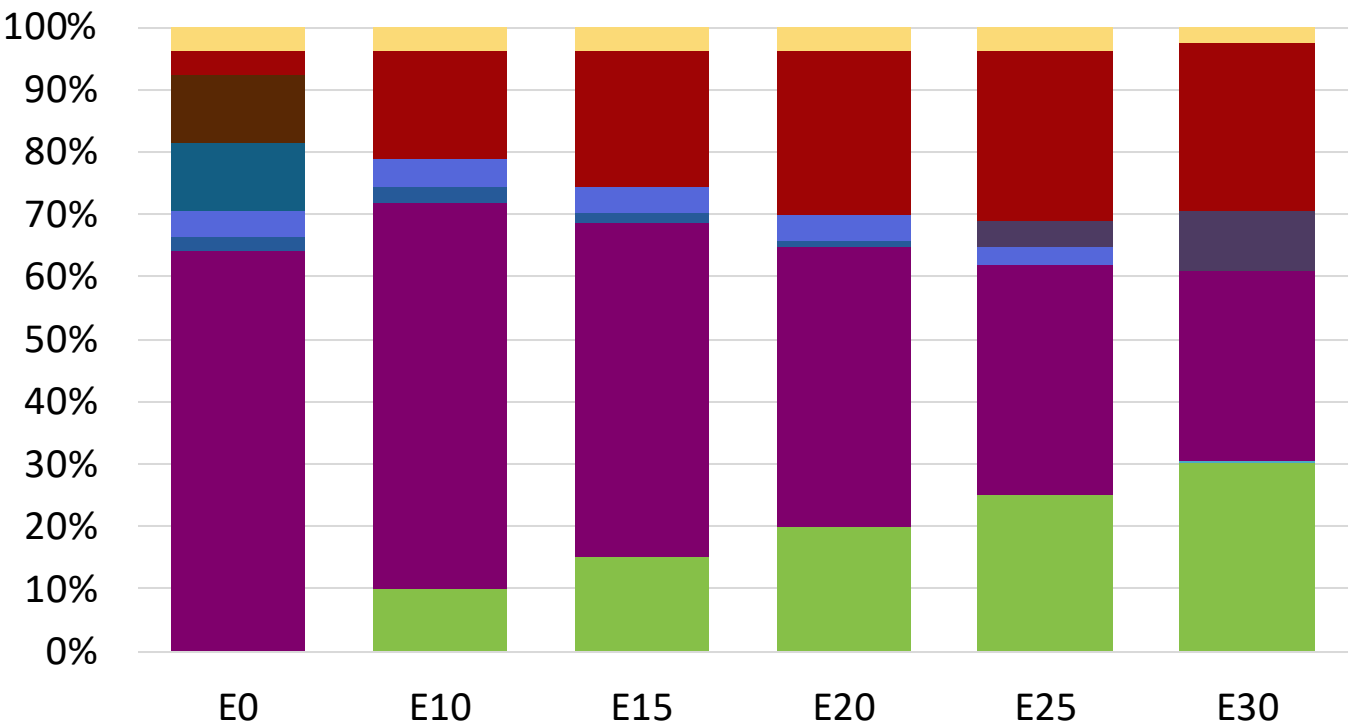
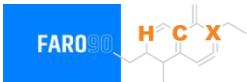
Portugal – Gasoline 95 – Constant Octane



Average CIF 2024
Prices

Octane (RON)	95.0	95.0	95.0	95.0	95.3	95.8
Price (US\$/gal)	\$ 2.290	\$ 2.178	\$ 2.098	\$ 2.008	\$ 1.893	\$ 1.830

Portugal - Gasoline 98 - Constant Octane

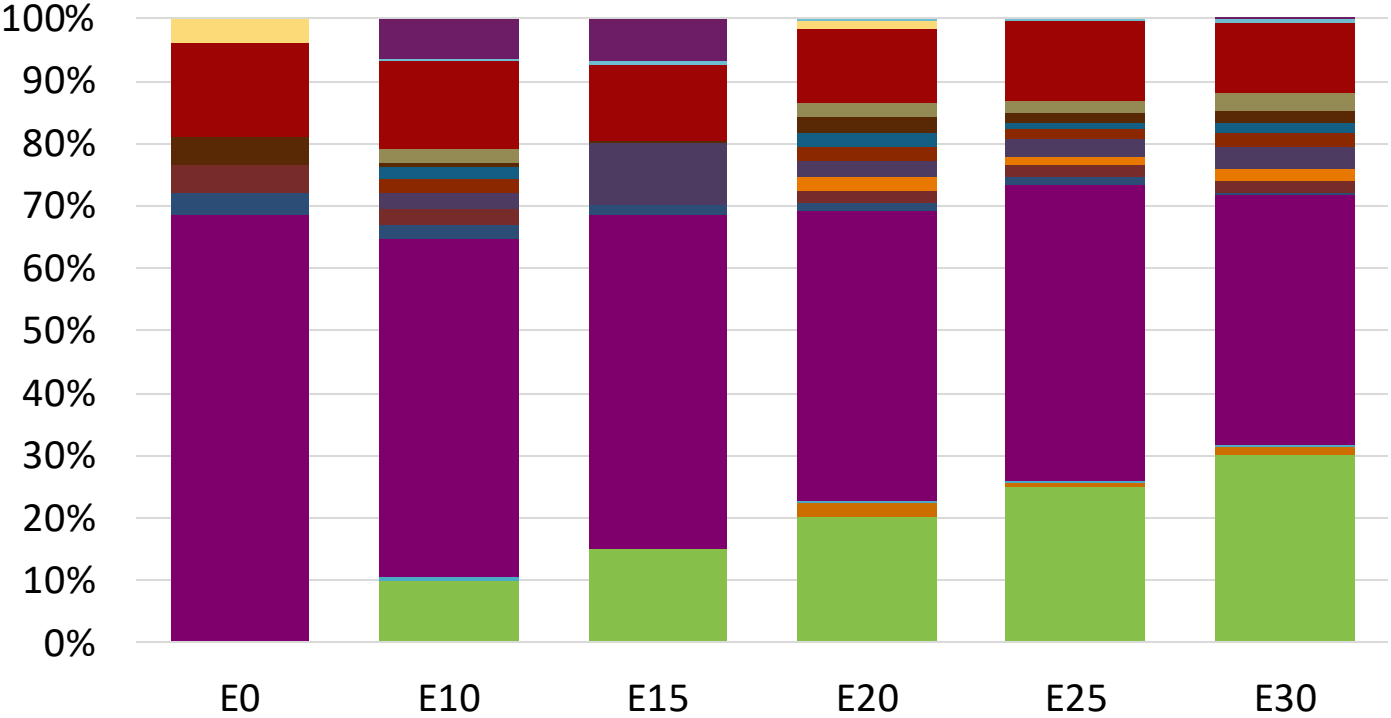


Average CIF 2024 Prices

Octane (RON)	98.0	98.0	98.0	98.0	98.0	98.0
Price (US\$/gal)	\$ 2.359	\$ 2.235	\$ 2.166	\$ 2.091	\$ 2.013	\$ 1.934

Source: Faro90

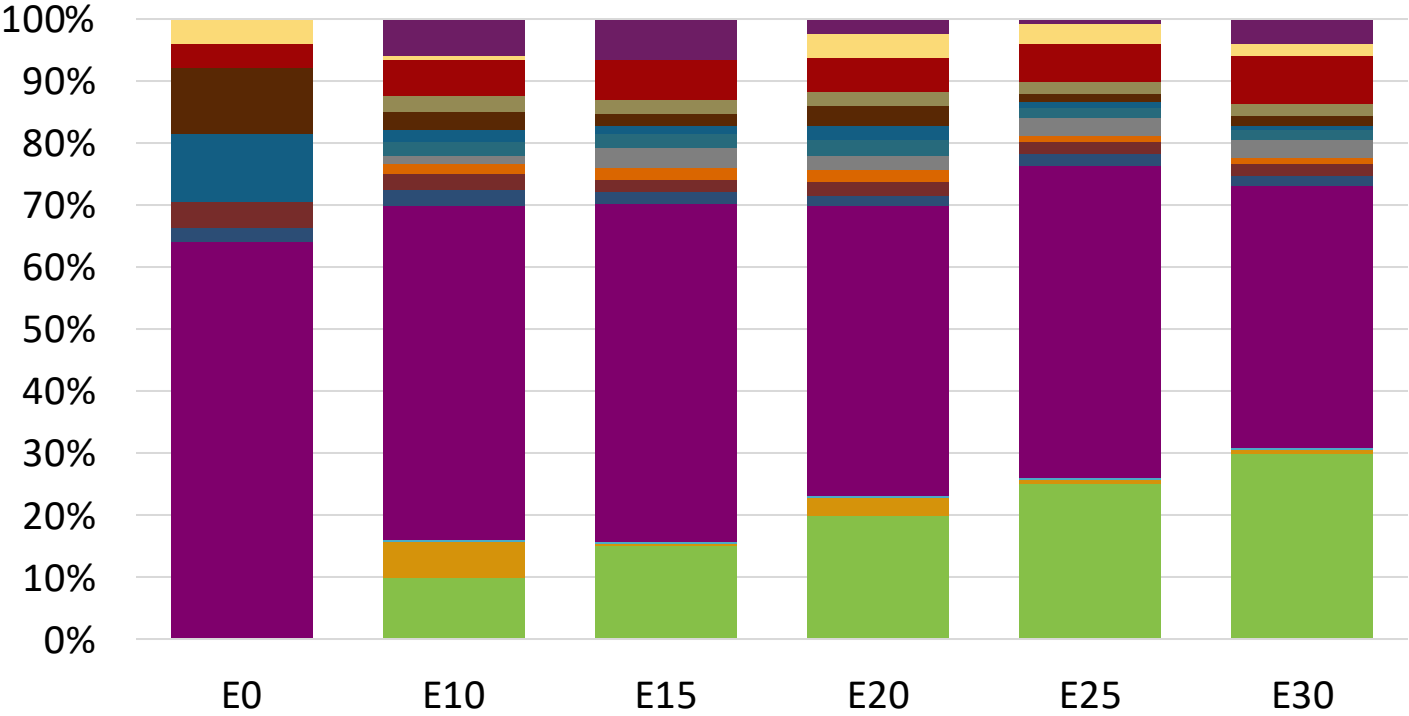
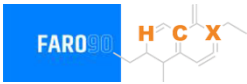
Portugal – Gasoline 95 – Increased Octane



Average CIF 2024
Prices

Octane (RON)	95.0	96.8	98.2	99.9	101.4	102.6
Price (US\$/gal)	\$ 2.222	\$ 2.222	\$ 2.222	\$ 2.222	\$ 2.222	\$ 2.222

Portugal – Gasoline 98 – Increased Octane



Average CIF 2024
Prices

Octane (RON)	98.0	99.3	100.9	102.5	104.0	105.0
Price (US\$/gal)	\$ 2.359	\$ 2.359	\$ 2.359	\$ 2.359	\$ 2.359	\$ 2.359

Source: Faro90

Vehicle Emission Impact for Ethanol Gasoline Blending

The model used in this analysis takes as a reference the [International Vehicle Emissions Model \(IVE\)](#).

The model uses the Base Emission Rates from IVE model, as well as its Adjustment Factors based on:

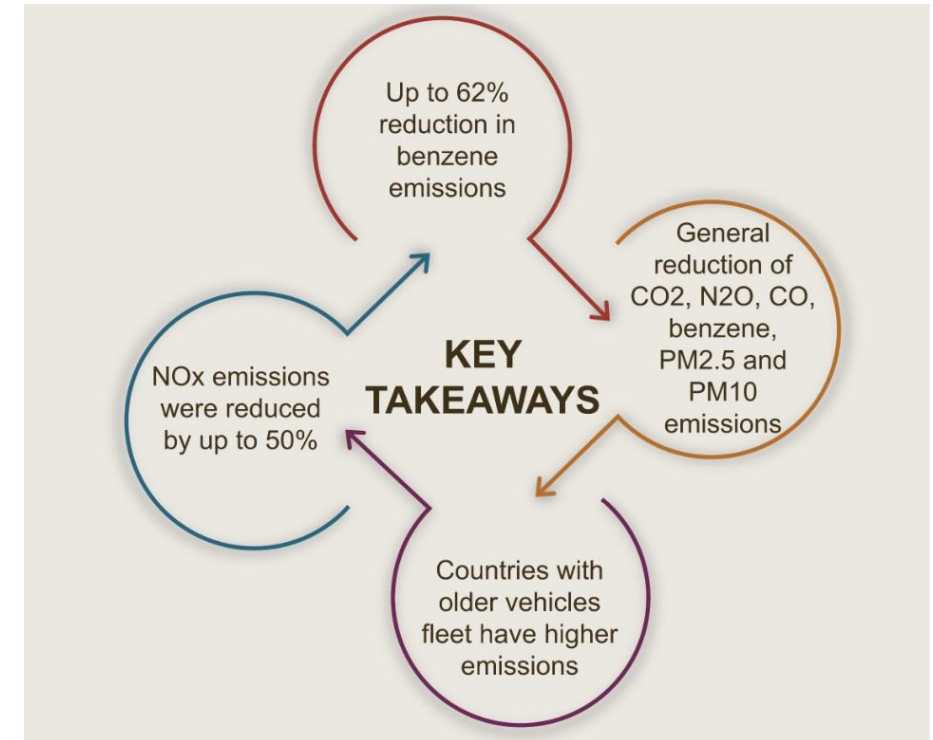
- Vehicle technology (cars, trucks, buses, motorcycles),
- Vehicle fleet average age,
- Average traveled distance per vehicle by country, as well as
- Geographical and climatic conditions (altitude, humidity, temperature).

Emissions of criteria pollutants, toxic pollutants, and greenhouse gases (GHG) were calculated and calibrated with emission inventories, using real gasoline quality data. The reduction rates for gasoline/ethanol blends were obtained from various sources (IPCC, US Grains, among others).

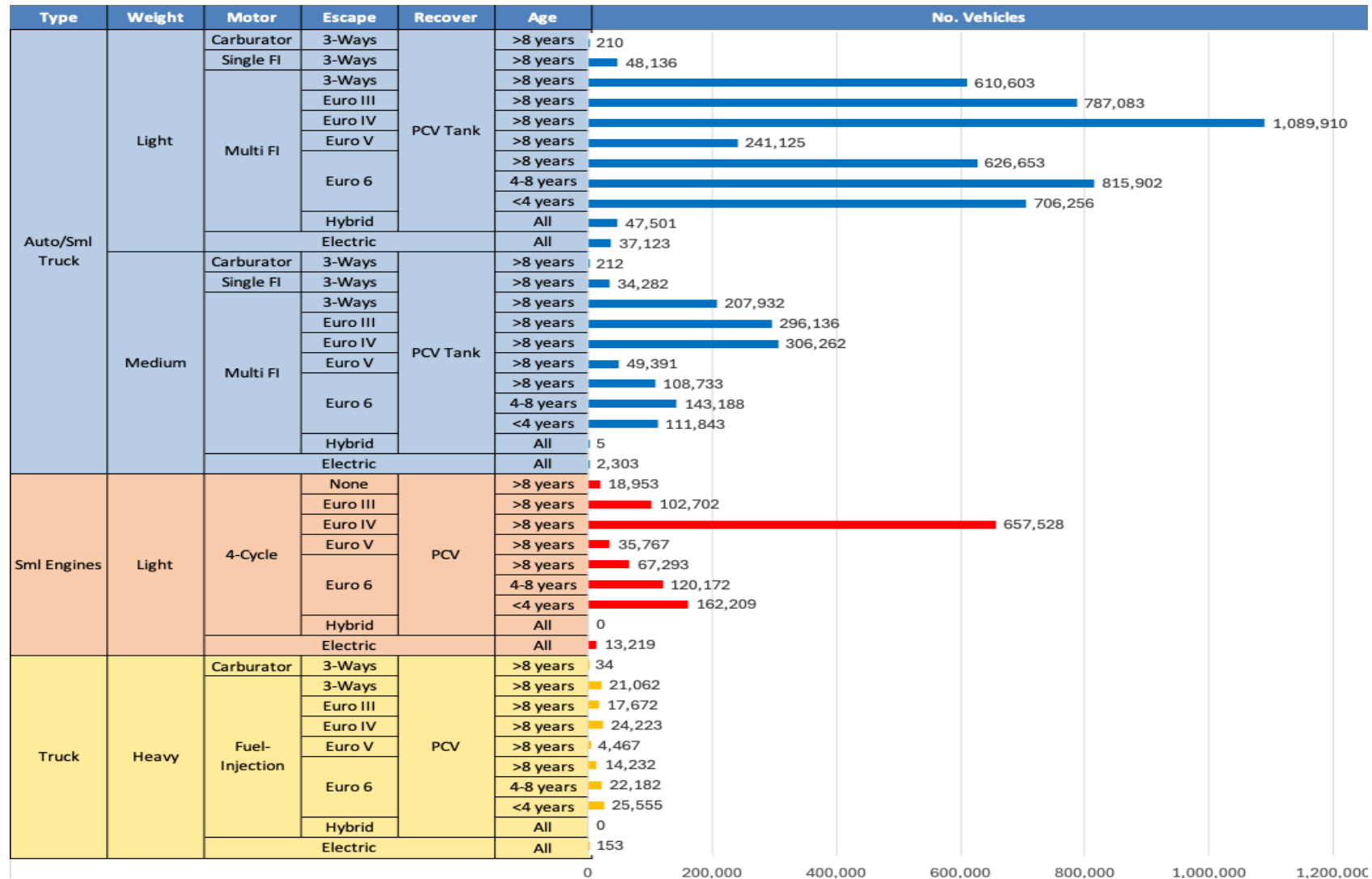
Emission estimations for different pollutants for gasoline and gasoline/ethanol blends (10%, 15%, 20%, 25% and 30% ethanol) were determined using the IVE Model. A comparison between the results and the European (Euro 6) requirements is made. Results are also compared with real emissions of the United States vehicle fleet*.

**Source: Bureau of transportation statistics.*

Main Results



Gasoline Vehicle Fleet - Portugal

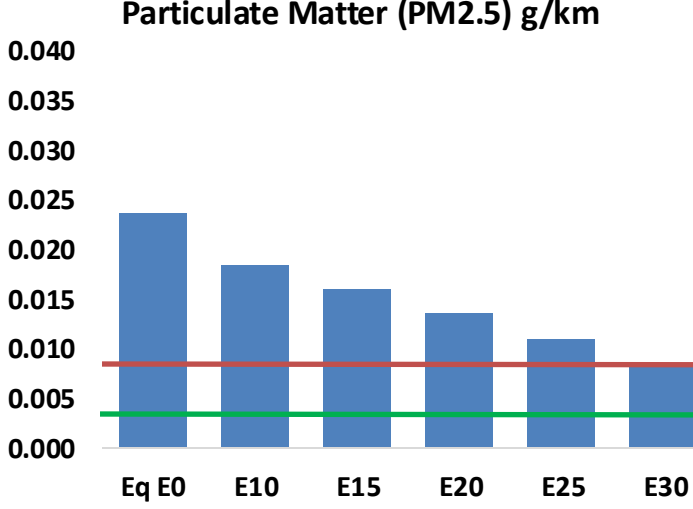
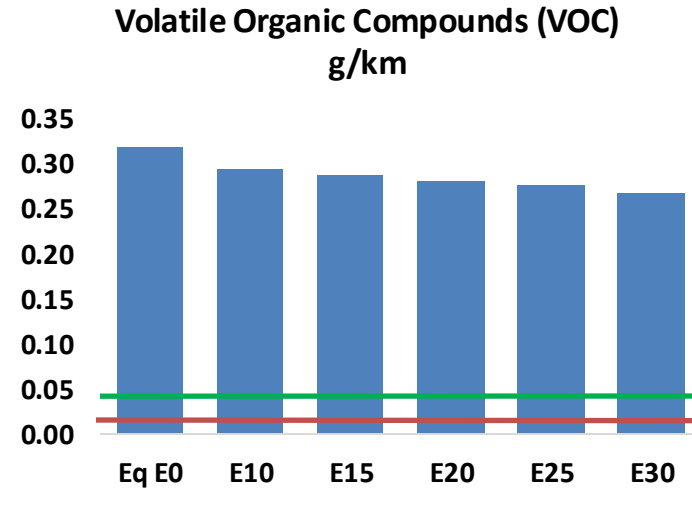
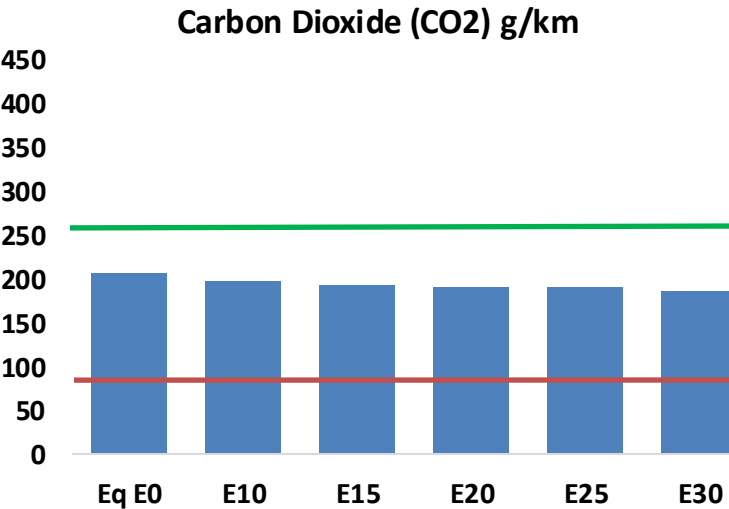
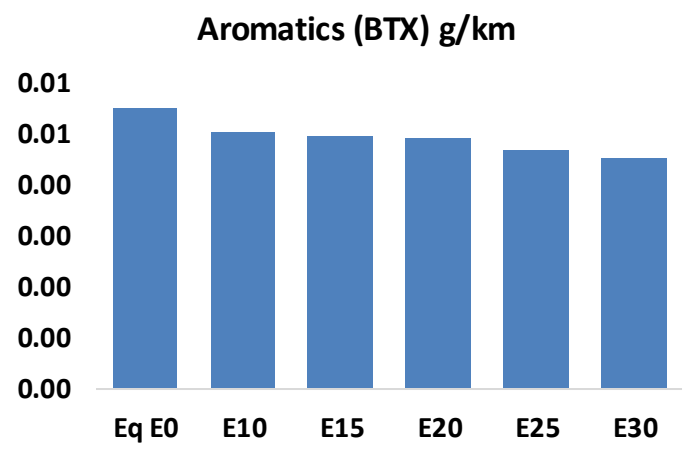
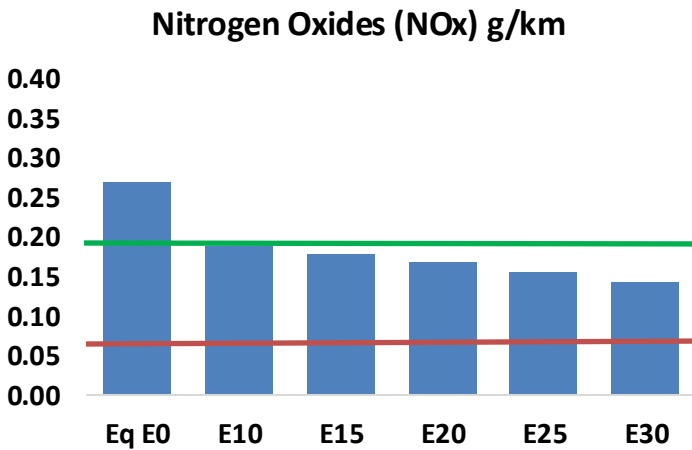
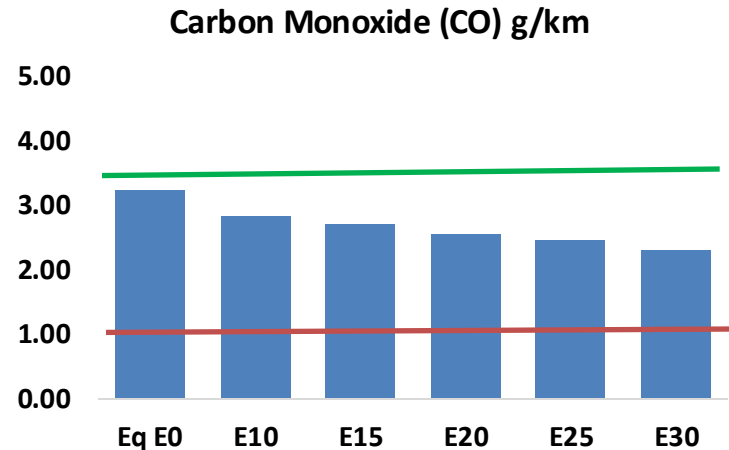
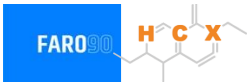


Vehicle Fleet: 7,578,214
Gasoline Vehicle Fleet: 2,654,720

Source: Eurostat, ACEA

Portugal – Vehicular Emissions

TIER III BIN 125 United States
Euro 6 Standard



Portugal – Vehicular Emissions

Vehicular Fleet Emissions (kg/day)	Eq E0	E5	E10	E15	E20	E25	E30	Reduction (%)	
								E10	E20
CO	209,074	196,659	184,244	174,785	165,594	158,626	150,367	-12%	-21%
CO2	13,460,947	13,114,808	12,787,900	12,530,796	12,403,570	12,331,260	12,103,959	-5%	-8%
VOC	20,658	19,868	19,077	18,586	18,162	17,858	17,377	-8%	-12%
NOx	17,465	13,098	12,225	11,522	10,866	10,143	9,379	-30%	-38%
SOx	160	148	136	125	116	105	94	-15%	-28%
NH3	4,599	4,553	4,508	4,529	4,580	4,616	4,646	-2%	0%
N2O	175	174	173	174	178	180	182	-1%	2%
CH4	4,900	4,900	4,900	4,974	5,082	5,175	5,263	0%	4%
Lead	-	-	-	-	-	-	-	0%	0%
Butadiene	198	193	187	184	182	181	178	-6%	-8%
Acetaldehyde	421	483	708	1,079	1,470	1,679	1,984	68%	249%
Formaldehyde	1,337	1,300	1,516	1,780	1,864	2,062	2,245	13%	39%
Benzene	358	344	326	321	319	305	295	-9%	-11%
PM2.5	839	745	651	566	480	390	295	-22%	-43%
PM10	690	613	536	465	395	320	243	-22%	-43%

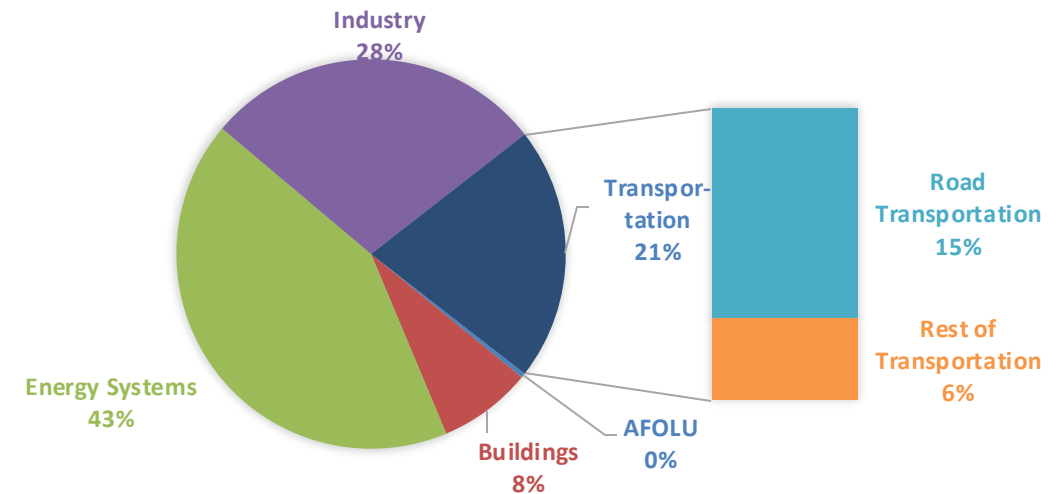
Life Cycle GHG Emissions

The Global Agenda for Climate Action calls for countries, cities and regions, businesses, and members of civil society around the world to achieve a low-carbon and climate-resilient economies in support of the Paris Agreement. Road Transportation accounts for 15% of total GHG emissions (IPCC,2023).

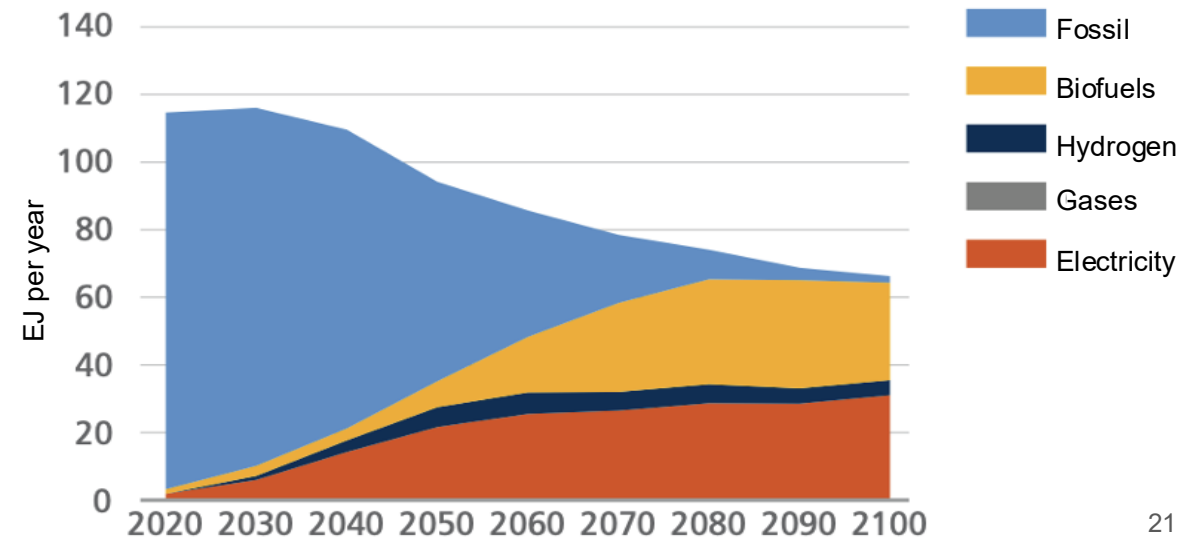
Ethanol gasoline blends are an internationally adopted practice that offer significant short-term benefits. Biofuels are an important solution to achieve reduction targets in the transportation sector.

Country GHG emission reductions are calculated using **RED II/III** and **GREET** life cycle emission methodologies and the **International Vehicular Emissions Model (IVE)**. Results are compared to the current country targets for 2035. Current 2024 country emission are those published by **IPCC**.

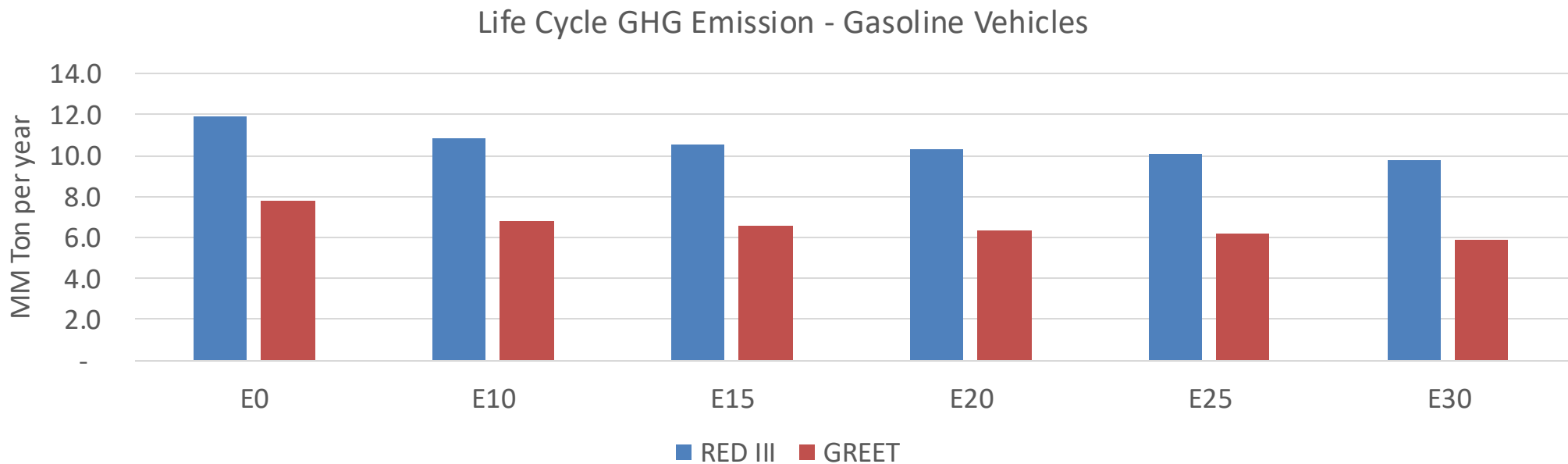
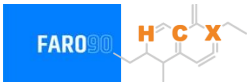
Current GHG Global Emissions Distribution



IPCC Transport Sector Sustainable Development Goals and climate policies Scenario, 2023



Portugal – Gasoline Vehicle Fleet Life Cycle GHG Emissions



Country Emissions 2024 (MMT/año)	59.0
Target @ 2035 (MMT/year)	33.2
Delta	25.8

%Reduction vs E0	E0	E10	E15	E20	E25	E30
GREET 2024	0.0%	12.6%	15.8%	18.5%	21.0%	24.4%
RED II/III	0.0%	9.1%	11.6%	13.7%	15.7%	18.2%

% Target@2035	E0	E10	E15	E20	E25	E30
GREET 2024	0.0%	3.8%	4.8%	5.6%	6.4%	7.4%
RED II/III	0.0%	4.2%	5.4%	6.3%	7.3%	8.4%

Source: Greet, RED II/III, IPCC, climateactiontracker.org, F90